

4 benefit only those properties within that specific Community Property District. An example of District Infrastructure would be the internal streets, water, sewer, and drainage for streets within a specific Community Property District. This class of street would typically have residential lots on each side and direct access onto the street would be allowed. Both Community Infrastructure (CI) and District Infrastructure (DI), (collectively "Public Infrastructure") are to be constructed for the benefit of the public. Only those improvements that are determined to be eligible for tax-exempt financing have been, or will be, funded by the Community Property Districts. Pursuant to a written interlocal agreement (the "Interlocal Agreement"), the Districts have provided for the implementation of the Community Infrastructure by delegating to one of the Districts (the "Issuer"), in the manner set forth in the Interlocal Agreement, the authority to finance, acquire and construct such Community Infrastructure within the boundaries of the Districts. The Interlocal Agreement also provides for one of the Districts (the "Administration District") to operate and maintain, on behalf of the Issuer for the benefit of all of the Districts, any portions of the Community Infrastructure not conveyed to another governmental entity. The Issuer may also finance, acquire and construct the infrastructure necessary to serve the property within the boundaries of a specific District (the "District Infrastructure"), subject to the reserved rights of each District to finance the acquisition and construction of its own District Infrastructure. District Infrastructure may be operated and maintained by the Administration District or the applicable District in which such District Infrastructure is located to the extent not conveyed to another governmental entity. The Community Property will be assessed costs associated with the Public Infrastructure based on its relative benefit as identified in the master assessment methodology report prepared by Fishkind & Associates, Inc. and approved by the Community Property Districts, as supplemented from time to time, including as supplemented by a report dated August 1, 2019 prepared by Special District Services, Inc., the current assessment methodology consultant to the Districts. Southern Grove Community Development District No. 5 ("CDD No. 5") is currently serving as the Issuer under the Interlocal Agreement. It has previously issued its \$2,655,000 in original principal of its Bond Anticipation Note, Series 2014 (Community Infrastructure) (the "2014 CI Note") to finance a portion of the Community Infrastructure, as described in the Second Supplement (the "2014 CI Project"). CDD No. 5 has also issued its \$5,800,000 in original principal amount of its Bond Anticipation Note, Series 2014 (District Infrastructure) (the "2014 DI Note") to finance a portion of its own District Infrastructure (the "2014 DI Project"). Subsequent to the approval of the Original Engineer's Report, the Districts approved certain supplements to the Original Engineer's Report, which, by recent action of the governing boards of the Districts, have been rescinded as of the date hereof. Subsequent to the Second Supplement, a change occurred in the ownership of a significant portion of the undeveloped land in the Districts (the "Significant Undeveloped Land"). CDD No. 5, as the current "Issuer," the owners of the Significant Undeveloped Land and the Consulting Engineer have formulated a revised Community Infrastructure program, based on the current expected development plan for the Community Property (the "Current Development Plan"), which 18